

CROSSCURRENT EQUITY PARTNERS
Limited Partner Investment Overview

Siena on Sonterra

600 East Sonterra Boulevard · San Antonio, Texas 78258
Stone Oak / Sonterra · 251 Units · Built 2014 · Class A Value-Add



Source: Offering Memorandum / property marketing materials

~17.0%

Projected LP Net IRR

~2.05x

LP Equity Multiple

~9.4%

Avg. Cash-on-Cash

5 Yr

Target Hold Period

Projections are estimates based on the assumptions herein and are not guaranteed.

Investment Summary

CrossCurrent Equity Partners is pleased to present Siena on Sonterra, a 251-unit, 2014-vintage Class A apartment community in the Stone Oak / Sonterra submarket — San Antonio's most affluent and supply-constrained north-side corridor. The four-story, elevator-served asset offers full-size in-unit washers and dryers in every home, a fully amenitized resident experience, and a location within 0.9 miles of two expanding hospital campuses and the top-rated North East ISD school system.

The opportunity arises from a clean, non-distressed sale. The community is owned by a family office that has held and self-managed the asset for years and is now exiting for estate-planning purposes — a motivated but orderly seller. Because the property has been operated with in-house management rather than an institutional platform, the transition to professional third-party management is itself a meaningful source of upside on day one.

The business plan is a disciplined value-add: CrossCurrent is acquiring the asset at \$125,000 per unit — a meaningful reset from the original guidance and a fraction of the estimated \$220,000–\$240,000 per door it would cost to replace this four-story, elevator-served product today. That basis, roughly half of replacement cost, is a margin of safety that is difficult to source in the current market. From there, the plan funds a targeted interior renovation, adds new income streams the asset does not capture today,

normalizes occupancy and concessions, and professionalizes management. Over a five-year hold, it is underwritten to a projected LP net IRR of approximately 17.0% and a 2.05x equity multiple, supported by a growing cash-on-cash yield that averages roughly 9.4% and a conservatively underwritten exit.

The thesis is to acquire high-quality units at a basis that leaves room for execution, well below replacement cost, then grow net operating income through proven renovation premiums, new ancillary income, professional management, and durable hospital-anchored demand.

Property Overview

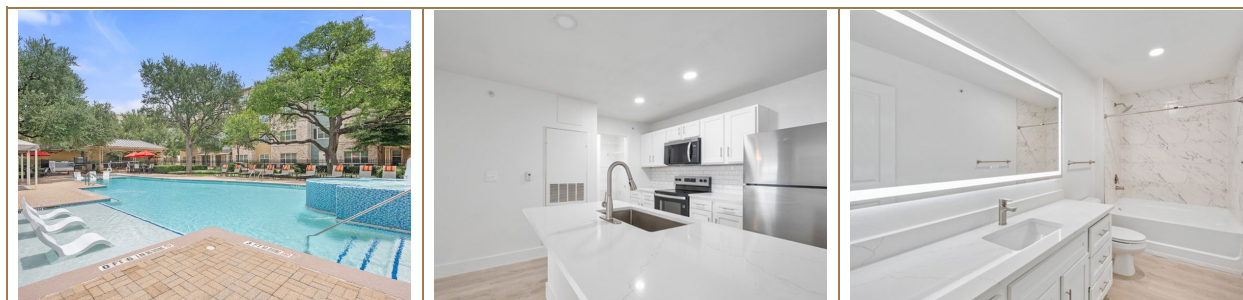
Address	600 East Sonterra Blvd, San Antonio, TX 78258
Submarket	Stone Oak / Sonterra (North Central San Antonio)
Year Built	2014
Units	251
Avg. Unit Size	964 SF
Construction	Four-story, elevator-served mid-rise
In-Unit Laundry	Full-size washer & dryer in all units
Parking	Surface parking — no covered parking in place (value-add opportunity)
Amenities	Resort pool, 24-hr fitness, clubhouse, dog park, business center, playground
School District	North East ISD (top-rated)
Structure	Fee-simple, market-rate (no PFC / HFC / affordability restriction)
Current Ownership	Family office, self-managed in-house; selling for estate-planning purposes
Occupancy	~92% occupied

Unit Mix

Unit Type	Units	Avg. SF	Avg. Market Rent	% Mix
One Bedroom	101	734	\$1,218	40%
Two Bedroom	118	1,061	\$1,562	47%
Three Bedroom	32	1,326	\$1,927	13%
Total / Weighted Avg.	251	964	\$1,469	100%

Community & Interior Amenities

Siena on Sonterra pairs a Class A amenity base with a designer interior renovation program. Completed designer homes feature quartz countertops, stainless appliances, modern cabinetry, and updated baths — the finishes that support the renovation premiums underwritten in the business plan.



Source: Offering Memorandum / property marketing materials

Location & Demand



Aerial of Siena on Sonterra within the Stone Oak / Sonterra corridor. Source: Offering Memorandum

Stone Oak / 78258 is one of San Antonio’s most affluent and supply-constrained submarkets — master-planned, high-income, and anchored by the top-rated North East ISD school system. The trade area combines a deep professional renter base with family demand tied to school quality, and land scarcity has kept competitive new supply limited even as the broader metro has absorbed heavy deliveries.

The property’s durable demand floor is medical. Two full-service hospital campuses — Methodist Hospital | Stone Oak and North Central Baptist — operate within 0.9 miles of the community, both in active expansion, together employing an estimated 3,500 hospital-system workers whose 24/7 shift schedules create a captive, recession-resilient renter pool. Broader North Central employment drivers include the iHeartMedia headquarters approximately three miles away, along with USAA, Valero, and the wider Far North Central corridor. The 443,000-SF Northwoods Shopping Center — anchored by H-E-B, Nordstrom Rack, and Regal Cinemas — sits minutes away, adding retail and dining convenience that supports rents.

Value Creation Plan

CrossCurrent’s plan converts a well-located, well-built asset — long held and self-managed by its family-office owner — into a stabilized, institutionally-managed community through several coordinated initiatives. The interior renovation is funded from a reserve escrowed at closing so execution is not dependent on interim cash flow.

Interior Renovation (Proven & Expanding)	The renovation concept is already proven in place. CrossCurrent standardizes on an efficient, cost-disciplined renovation scope — quartz counters, stainless appliances, and modern finishes at roughly \$12,650 per unit — rolled out across 126 additional homes and underwritten to a conservative \$175 / month premium (a ~16.6% yield on cost). As the proof-of-concept exhibit below shows, in-place renovated homes are already achieving premiums at or above that level.
Covered Parking (New Income Stream)	The community has no covered parking today. Adding carports / covered spaces introduces a new recurring, high-margin fee-income stream in a submarket where covered parking commands a monthly premium — income the asset does not capture under current ownership.

Private Yards	Where site conditions allow, adding fenced private yards to ground-floor homes creates a differentiated, premium-rent product at modest cost — deepening the renovated-unit premium and broadening resident appeal to families and pet owners.
Operational Normalization	Burning off renovation-related vacancy from ~11.5% toward a stabilized ~7%, and concessions from ~4% toward ~1%, as units return to service and leasing normalizes.
Professional Management	The asset is currently self-managed in-house by the family-office owner. Transitioning to an institutional third-party management platform — with professional revenue management, marketing, and expense controls — is a core, day-one source of upside.

Together these levers are underwritten to grow net operating income from approximately \$1.5M in place to roughly \$2.8M by Year 5, with the NOI margin expanding from the mid-40% range toward the low-50% range as the plan matures.

Renovation Premium — Proven at the Property

Over its hold, the family-office owner renovated 23 of the 251 homes across two distinct finish levels: an efficient mid-grade package and a higher-cost “designer” package. Comparing in-place rents on those homes to un-renovated homes in the same floorplan gives a direct comparison of the premium each finish level earns today.

Finish Tier	Units Done	Proven Premium vs. Classic	Recent Lease Asking
Classic (un-renovated)	228 left	— (baseline)	—
Mid-grade renovation — CCEP plan spec	9	+\$172 / mo	\$235–\$260 / mo
Designer — prior owner’s over-build	14	+\$202 / mo	\$290–\$360 / mo

Premiums measured as total in-place rent (base + amenity) vs. Classic homes in the same floorplan; asking from 2026 leases. Source: rent roll 06/23/2026.

First, the premium is real and being achieved on current leases. The mid-grade renovation CrossCurrent plans to roll out is already earning roughly \$172 per month more than an un-renovated home, so the model’s \$175 assumption is underwritten to a level the cheaper renovation is already proving out, with none of the designer upside included. Second, the prior owner’s “designer” homes cost roughly twice as much to renovate yet earn only about \$20–\$50 more per month than the mid-grade package — an over-improvement that did not pay for itself. CrossCurrent standardizes on the efficient mid-grade scope, captures the vast majority of the premium at a fraction of the cost, and leaves all 228 un-renovated homes as runway.

Deal Structure & Projected Returns

Capitalization

Sources & Basis	Amount	Per Unit	% of Cap
Purchase Price	\$31,375,000	\$125,000	—
All-in Cost (incl. renovation & closing)	\$33,745,083	\$134,443	—
Senior Debt (65% LTV, 5.35% fixed)	\$20,393,750	\$81,250	60.4%
Total Equity	\$13,351,333	\$53,193	39.6%
LP Equity	\$12,016,200	—	90% of equity
GP Co-Investment	\$1,335,133	—	10% of equity

The senior loan is sized to 65% loan-to-value with a going-in debt yield of approximately 9.3% and a debt-service-coverage ratio above 1.7x, providing meaningful cushion. Limited partners receive a 10% preferred return before the sponsor participates in profits through a tiered promote, aligning CrossCurrent's upside with LP performance; the sponsor co-invests alongside LPs.

Return Summary

Metric	Projection (5-Year Hold)
LP Net IRR	~17.0%
LP Equity Multiple	~2.05x
Average Cash-on-Cash	~9.4%
LP Preferred Return	10%
Going-in Debt Yield	~9.3%
Projected Exit Cap Rate	6.00%
Projected Exit Value	\$44,650,000 (\$177,888 / unit)

Projected Cash-on-Cash & NOI by Year

	Year 1	Year 2	Year 3	Year 4	Year 5
Net Operating Income	\$1.89M	\$2.16M	\$2.47M	\$2.70M	\$2.79M
Cash-on-Cash Yield	5.3%	7.2%	9.5%	11.2%	9.7%

Year 5 cash-on-cash reflects the start of scheduled loan amortization; the sale is modeled at the end of Year 5.

Key Risks & Mitigants

Elevated metro vacancy. *Mitigant:* San Antonio's metro-wide vacancy is elevated, but Stone Oak / 78258 is supply-constrained and master-planned, with the immediate corridor running near 93% occupancy; metro construction starts have fallen sharply, forming a supply trough that supports a rent recovery over the hold.

Renovation execution. *Mitigant:* The program is deliberately scoped to 126 of 251 units at a conservative \$175 premium, and the renovation reserve is escrowed at closing so execution is not dependent on interim cash flow; 23 already-renovated designer homes are achieving \$200–\$250 premiums, validating the thesis.

Rental concessions and occupancy pressure. *Mitigant:* Underwriting is conservative (Year 1 vacancy 10%, concessions 4%), and the hospital-anchored captive demand base supports lease-up as units return to service.

Financing & interest rates. *Mitigant:* The asset is capitalized at a conservative 65% LTV with a ~9.3% going-in debt yield and 1.7x+ coverage on fixed-rate senior debt, limiting sensitivity to rate movements over the hold.

Exit assumptions. *Mitigant:* The exit is underwritten at a 6.00% cap rate — above the going-in yield — with a tax-adjusted valuation, a deliberately conservative basis for a Class A asset in a premier submarket.

For more information on this offering, visit [the property website](#) or contact CrossCurrent Equity Partners at andy.pape@crosscurrentep.com.